

Stigmatized Property

What Is Stigmatized Property?

Have you ever heard of a "cursed" house? Maybe someone died there, or everyone who's lived there has had a run of bad luck. Maybe one of your neighbors is rumored to be a big-time hoarder. Houses like these are known as stigmatized property, and their negative circumstances could make potential buyers shy away from purchasing them. Some examples of stigmatized properties are homes where:

- A murder or suicide has occurred
- Gang activity has been known to occur
- Drugs have been manufactured or sold
- A hoarder has lived
- A sex offender has lived, or lives nearby
- Hauntings or other paranormal activities have been reported

So what's your responsibility as a licensee when you're called upon to either list a stigmatized property, or potentially sell one to your buyer?

What the Law Says

Michigan law says that information about stigmatized property is not material, so it's not required to be disclosed. There is an exception to this rule-when the information can affect the property's marketability or value. The fine line here isn't always obvious, so if you're not sure whether information should be disclosed, consult your broker.